2.3. ASSET ALLOCATION WITH RISKY LABOR INCOME

Let's take an investor who has risky labor income. We need to consider whether her labor income looks like a stock or a bond. If you are reading this book, you probably work in a field related to finance, so your labor income is probably positively correlated with equities. Most of my MBA students have human capital that is highly correlated with the stock market.

A positive correlation between labor income and equity returns reduces the optimal allocation to risky assets in an investor's financial portfolio. In this case, human capital is equivalent to already being endowed with equities. You wish to reduce your equity positions in your financial portfolio to offset your equity-like human capital. This undoes the equity risk added by your labor income. In short, when human capital acts like equities, you effectively already own equities and so you hold fewer equities in your financial portfolio.

What about those investors whose wages are negatively correlated with equity returns? These people actually earn more during stock market downturns. Some examples include bankruptcy attorneys, shrewd experts who can turn around poorly performing companies, and debt collectors. Human capital for these investors acts in the opposite way of equities, and so they have human capital that is anti-equities. If they are anti-equity in their human capital, they want to offset that by holding lots of equities in their financial portfolio. That is, their allocations to equity will be even more aggressively weighted toward equities than investors with risk-free labor income.

There are several important corollaries:

1. Investors with income that goes up and down with the stock market should hold more bonds (or other very low-risk assets) in their financial portfolios. These investors have equity-like human capital, so they need to take positions opposite to equities in their financial portfolios.
2. John Roberts, Antonin Scalia, Sonia Sotomayor, and all the other Justices of the Supreme Court should hold relatively aggressive positions in the stock market. Their incomes are like risk-free bonds, so their financial portfolios should take large, opposite positions in risky equities.
3. An investor should hold little or none of her employer's stock. Her labor income is already exposed to her employer's fortunes, and the last thing she should want is even more of the same risk in her savings. Her financial holdings should diversify away her employer's risk reflected in her labor income. (See chapter 3.)
4. If you work in the United States, your financial portfolio should actually hold more overseas stocks than domestic stocks. Your income already comes from a U.S. source, so you need to hold more non-U.S. securities in your financial portfolio.[12]

[12] See Baxter and Jermann (1997).